



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. IV-A
Commonwealth Avenue, Quezon City

June 10, 2025

HON. GEMMA BUENDIA-LUBIGAN

City Mayor
City Government of Trece Martires
Province of Cavite

Dear Mayor Buendia-Lubigan:

We are pleased to transmit the Management Letter (ML) on the Compliance Audit on the Transparency and Accountability in the Allocation and Utilization of the Special Education Fund (SEF) of the City Government of Trece Martires, Cavite for the period January 1 to December 31, 2024, in compliance with Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to: (a) determine the extent of compliance with applicable laws, rules and regulations and the International Standards of Supreme Audit Institutions compliance auditing (ISSAI 4000); and (b) recommend agency improvement opportunities.

We respectfully request that the recommended measures be implemented and that this Commission be informed of the actions taken thereon by accomplishing the Agency Action Plan and Status of Implementation (form attached) within 60 days from the date of receipt of this ML as prescribed in Commission on Audit (COA) Memorandum No. 2014-002 dated March 18, 2014.

We express our appreciation for the invaluable support and cooperation extended to the Audit Team by the officials and staff of the City Government of Trece Martires, Cavite during the audit.

Very truly yours,


CHONA P. LABRAGUE
Director IV
Regional Director

OFFICE OF THE CITY MAYOR
TRECE MARTIRES CITY

RECEIVED
DATE: 6/10/25

6/10/25
Gritie S. Ybaner

SP Secretariat Office
RECEIVED

By:  Date: 6-13-2025

City of Trece Martires
Province of Cavite

AGENCY ACTION PLAN and STATUS OF IMPLEMENTATION

Audit Observations and Recommendations

For the Calendar Year 2024

As of _____

Ref.	Audit Observation	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Non-Implementation if applicable	Action Taken/Action to be taken
			Action Plan	Person/Dept. Responsible	Target Implementation Date				
					From	To			

Agency Signing Officer:

Name and Position of Agency Officer

Date

Note: Status of Implementation may either be (a) Implemented (I) or (b) Not Implemented (NI).



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT

Regional Office No. IV-A

Local Government Audit Sector B - Province of Cavite
Provincial Capitol Compound, Brgy. San Agustin, Trece Martires City
Office of the Supervising Auditor

June 10, 2025

HON. GEMMA BUENDIA-LUBIGAN

City Mayor
City Government of Trece Martires
Province of Cavite

**Management Letter on the Compliance Audit on the
Transparency and Accountability in the Allocation and Utilization of the
Special Education Fund of the City Government of Trece Martires
For the period January 1 to December 31, 2024**

Dear Mayor Buendia-Lubigan:

1. We have audited the implementation of the Department of Education (DepEd)-Department of Budget and Management (DBM)-Department of the Interior and Local Government (DILG) Joint Circular (JC) No.1, s. 2017 dated January 19, 2017 particularly on the transparency and accountability in the allocation and utilization of the Special Education Fund (SEF) of the City Government of Trece Martires covering the period January 1 to December 31, 2024.
2. We conducted our compliance audit in accordance with the International Standards of Supreme Audit Institutions on compliance auditing (ISSAI 4000). Those standards require that we plan and perform the audit to obtain a reasonable basis for our conclusions.
3. The audit was conducted to ascertain compliance with Item 6.1 of DepEd-DBM-DILG Joint Circular No.1, s. 2017 dated January 19, 2017, in promoting and enhancing the transparency and accountability in the allocation and utilization of the SEF of the City of Trece Martires, Cavite for the period January 1 to December 31, 2024.
4. Item 6.1 of DepEd-DBM-DILG JC No.1, s. 2017 dated January 19, 2017, requires the parties concerned to comply with the following to promote and enhance transparency and accountability in the allocation and utilization of the SEF:

Activities and Documents	Person/s Responsible	Indicative Timeliness
Furnish the Local Budget Officer, the Local Accountant,	LSB	Not later than seven (7) days after the approval

Activities and Documents	Person/s Responsible	Indicative Timeliness
and the Local Treasurer a copy of the SEF Budget as basis for disbursement or certification of availability of funds and for recording purposes.		of the SEF Budget.
Submit quarterly and annual reports using the SEF Budget Accountability Form No. 1 (Annex B) on SEF utilization, as prepared by the Local Accountant, to the DepEd CO, through appropriate channels, copy furnished the local sanggunian concerned and Regional Offices of the DBM and DILG. The appropriate DepEd offices shall prepare the consolidated provincial and regional reports.	LSB DepEd representative in the LSB	For quarterly reports, not later than the 20 th day after the end of the quarter and for annual reports, not later than the 15 th day of February of the following year.
Post the utilization report of the SEF Budget on the website of the LGU and/or in at least three (3) conspicuous public places for transparency and accountability in compliance with the Full Disclosure Policy of the DILG.	LSB	Pertinent deadline consistent with the Full Disclosure Policy of the DILG.

5. The composition of the LSB of the City of Trece Martires is as follows:

Chairperson : Hon. Gemma Buendia-Lubigan
City Mayor

Co-Chairpersons : Ms. Ma. Jovy P. Legaspi
Public Schools District Supervisor - District 1

Ms. Carolina R. Magallanes
Public Schools District Supervisor - District 2

Members : Hon. Joyce Ann C. Mojica
SP Chairperson, Committee on Education

Atty. Ms. Jeanette B. Tolentino
City Administrator

Atty. Kim M. Moral
City Legal Officer

Ms. Bernardita L. Fidel
Acting Head, City Budget Office

Ms. Ferlinda M. Paz
City Treasurer

Ms. Nora N. Delos Santos
City Social Welfare and Development Officer

Hon. John Allyson P. Sepacio
SK Federation President

Mr. Magdaleno R. Lubigan
Principal - TMCNHS

Engr. Aurelio D. De Ocampo
City Engineer

Ms. Celia Lubigan
TMC TEA President

Mr. Jaime C. Siyang
GPTA President

6. The Secretariat, which shall provide technical support in the preparation of reports and render such other assistance as may be necessary for the effective discharge of the Board's functions, is composed of the following:

Secretariat : Ms. Shirlyn Leachon
Administrative Assistant II, TMC District Office

Ms. Basilisa Digma
Principal IV, TMCES - District 1

Ms. Janine A. Costa
Principal III, Kanggahan Elementary School - District
2

Ms. Lorna T. Sayaman
Board Secretary III

7. The Office of the LSB, through Resolution No. 4, s. 2023 on October 20, 2023, approved the total amount of P66,000,000.00 as the LSB Annual Budget for the Calendar Year (CY) 2024. Moreover, LSB Resolution No. 06-2024 dated November 8, 2024 was approved for the supplemental budget totaling P20,000,000.00, thus, increasing the SEF final budget for CY 2024 to P86,000,000.00.

8. The Audit Team conducted verification of pertinent reports and records, including the SEF Budget, Utilization Reports, and related documents. Additionally, a series of communications were undertaken with LSB Focal Persons and Secretariats, who are primarily responsible for managing the full disclosure of the City Government of Trece Martires. Also, the Audit Team verified the City's website and conducted inspection of the conspicuous places wherein the City posted its reports and documents in compliance with the Full Disclosure Policy.
9. We wish to bring to your attention our audit observations and recommendations which were communicated through Audit Observation Memorandum (AOM) to the concerned officials of the City Government of Trece Martires. Their responses were incorporated in this Management Letter (ML), where appropriate.

Basis for the Conclusion

10. The City's LSB did not submit the SEF budget reports to the Offices concerned and the quarterly and annual SEF Utilization Reports were either delayed or not submitted to the oversight offices or agencies while the SEF reports were not posted in the website of the City and/or in at least three (3) conspicuous public places contrary to Section 6.1 and Annex B of DepEd-DBM-DILG JC No. 1, series of 2017.

Conclusion on the Subject Matter

11. Based on the audit work performed, we found that, because of the significance of the matters noted in the Basis for the Conclusion paragraph above, the promotion and enhancement of transparency and accountability in the allocation and utilization of the SEF by the City Government of Trece Martires LSB, is not in compliance in all material respects, with the provisions of Item 6.1, DepEd-DBM-DILG Joint Circular No.1, s. 2017 dated January 19, 2017.

Detailed Observation and Recommendation

The City's LSB did not submit the SEF budget reports to the Offices concerned and the quarterly and annual SEF Utilization Reports were either delayed or not submitted to the oversight offices or agencies while the SEF reports were not posted in the website of the City and/or in at least three (3) conspicuous public places, contrary to Section 6.1 and Annex B of DepEd-DBM-DILG JC No. 1, series of 2017.

12. For Calendar Year (CY) 2024, the City approved the budget for the Special Education Fund (SEF) through Local School Board (LSB) Resolution No. 08, series of 2023 dated October 20, 2023. The approved budget for CY totaling P66,000,000.00 was increased through the approval of supplemental budget totaling P20,000,000.00 under LSB Resolution No. 06-2024 dated November 8, 2024, thus, increasing the SEF final budget for CY 2024 to P86,000,000.00.

13. Conduct of post-audit includes the dissemination of Questionnaire on the Promotion and Enhancement of Transparency and Accountability in the Allocation and Utilization of the SEF to the LSB, as well as the conduct of interviews with the concerned personnel. It was revealed that the Quarterly and Annual SEF Utilization Reports were submitted only to the Sangguniang Panlungsod ng Trece Martires (SPTM) and the DILG Regional Office, but proofs of service indicating when they were actually received by the aforementioned offices were not submitted for verification. The City was not able to submit such reports to the DepEd CO and the DBM Regional Office.
14. Moreover, duly received copies of the 1st to 3rd Quarter SEF Utilization reports were not submitted to the Office of the Auditor for verification.
15. The Audit Team requested the submission of copies of the LSB Resolution No. 8-2023, the LSB Resolution No. 6-2024 (Supplemental budget), the SEF Budget and the SEF Budget Accountability Form No. 1 (Annex B) on SEF Utilization, which were prepared quarterly and annually, to validate the responses provided in the aforementioned questionnaire. However, the City was only able to submit the LSB Resolution No. 8-2023, the LSB Resolution No. 6-2024, the SEF Budget and the SEF Utilization Report for the 4th Quarter of CY 2024, which was duly received by the SPTM and the DILG Regional Office. There was no any other evidence to support the timely submission of these reports to the identified required recipients, thus, the answers provided in the questionnaire remained doubtful and unvalidated.
16. The non-submission of the SEF Budget and Utilization reports and non-posting of the same in the website of the City and/or in at least three conspicuous public places precluded the Audit Team to verify the responses provided in the questionnaire, hence, the purpose of the SEF Utilization Reports to promote and enhance the transparency and accountability in the allocation and utilization of the City's SEF was not fully achieved.
17. We recommended that the City Mayor direct the LSB concerned personnel to ensure the timely submission of the SEF Budget and Utilization reports to the appropriate offices and national agencies and post the same in the website of the City and/or in at least three conspicuous public places, in accordance with Section 6.1 and Annex B of DepEd-DBM-DILG JC No. 1, series of 2017.
18. The Management commented that the prevailing practice encountered within the LSB was to report the SEF utilization solely to the DILG. The requirement to submit reports on SEF budget and utilization to the DepEd and DBM was inadvertently overlooked due to the transition in administration and the reconstitution of the LSB in 2019. Moreover, no specific advisory or reminder was given to the newly reorganized LSB regarding the additional reporting obligation.
19. Furthermore, the City had been firmly committed to transparency, and this commitment was demonstrated by the consistent uploading of SEF Utilization Reports and project accomplishments to the DILG's Full Disclosure Policy Portal.
20. The City Mayor already directed the LSB personnel to ensure that all required SEF Budget and Utilization be submitted promptly to the DepEd CO and DBM RO, in strict compliance with the JC, strengthen internal monitoring system to track submission deadlines, institute a compliance verification process to guarantee

adherence to all reporting obligations, and conduct capacity building sessions for LSB staff to ensure that they are well informed of the financial reporting requirements.

Status of Implementation of Prior Year's Audit Recommendations

21. As no compliance audit was conducted in the previous year, hence no data for this section.

Acknowledgment

22. We wish to express our appreciation to the Management and staff of the City Government of Trece Martires for the cooperation and assistance extended to our Audit Team during the audit.

Very truly yours,

COMMISSION ON AUDIT

By:


MARK SCHUNDEL L. REYMUNDO
OIC-Supervising Auditor

Copy furnished:

- The Regional Director
Department of the Interior and Local Government, Region IV-A
- The Regional Director
Department of Budget and Management, Region IV-A
- The Regional Director
Bureau of Local Government Finance, Region IV-A
- The Secretary
Sangguniang Panlungsod, City Government of Trece Martires
- The University of the Philippines Law Center (soft copy)
- The National Library (soft copy)

CITY OF TRECE MARTIRES, CAVITE

Proof of Posting of Special Education Fund (SEF) Budget and Utilization Reports

Bulletin Board, Trece Martires City Hall

QUARTERLY STATEMENT OF CASH FLOWS	
SPECIAL EDUCATION FUND	
Republic of the Philippines Province of Cavite City of Trece Martires Office of the City Accountant Trece Martires City	
SECTION: REGION IV-A CALABARZON	QUARTERLY YEAR: 2024
PROVINCE: CAVITE	QUARTER: 3
CITY: CITY OF TRECE MARTIRES	
CITY NATIONAL OFFICE: OFFICE OF THE CITY ACCOUNTANT	
CITY NATIONAL OFFICE: OFFICE OF THE CITY ACCOUNTANT	
Cash Inflows:	
Collection from Residents	\$1,580,000.00
Grant from National Government	1,580,000.00
Grant from Local Government	1,580,000.00
Other Income	1,580,000.00
Cash Outflows:	
To National Government	1,580,000.00
To Local Government	1,580,000.00
To Other Government	1,580,000.00
To Other Government	1,580,000.00
Net Cash from Operating Activities	\$1,580,000.00
Cash Inflows:	
From Sale of Property, Plant and Equipment	1,580,000.00
From Sale of Property, Plant and Equipment	1,580,000.00
From Sale of Property, Plant and Equipment	1,580,000.00
From Sale of Property, Plant and Equipment	1,580,000.00
Cash Outflows:	
To National Government	1,580,000.00
To Local Government	1,580,000.00
To Other Government	1,580,000.00
To Other Government	1,580,000.00
Net Cash from Investing Activities	\$1,580,000.00
Cash Inflows:	
From Sale of Property, Plant and Equipment	1,580,000.00
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From Sale of Property, Plant and Equipment	1,580,000.00
From Sale of Property, Plant and Equipment	1,580,000.00
Cash Outflows:	
To National Government	1,580,000.00
To Local Government	1,580,000.00
To Other Government	1,580,000.00
To Other Government	1,580,000.00
Net Cash from Financing Activities	\$1,580,000.00
Net Increase in Cash	\$1,580,000.00
Cash at Beginning of the Period	\$1,580,000.00
Cash at End of the Period	\$1,580,000.00

QUARTERLY STATEMENT OF CASH FLOWS	
SPECIAL EDUCATION FUND	
Republic of the Philippines Province of Cavite City of Trece Martires Office of the City Accountant Trece Martires City	
SECTION: REGION IV-A CALABARZON	QUARTERLY YEAR: 2024
PROVINCE: CAVITE	QUARTER: 3
CITY: CITY OF TRECE MARTIRES	
CITY NATIONAL OFFICE: OFFICE OF THE CITY ACCOUNTANT	
CITY NATIONAL OFFICE: OFFICE OF THE CITY ACCOUNTANT	
Cash Inflows:	
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Net Increase in Cash	\$1,580,000.00
Cash at Beginning of the Period	\$1,580,000.00
Cash at End of the Period	\$1,580,000.00

Agency Name	CITY GOV. OF TRECE MARTIRES	Name of Respondent	GENNA BUENDIA LUBIGAN
Address	TRECE MARTIRES CITY	Position/Designation	CITY MAYOR
Audit Period		Signature	

Questionnaire on the Promotion and Enhancement of Transparency and Accountability in the Allocation and Utilization of the Special Education Fund (SEF)

- A. Activity: Local School Board (LSB) furnish the Local Budget Officer, the Local Accountant, and the Local Treasurer a copy of the Special Education Fund (SEF) Budget as basis for disbursement or certification of availability of funds and for recording purposes not later than seven (7) days after the approval of the SEF Budget**

Objective: To ensure proper documentation, transparency, and accountability on the allocation and utilization of the Special Education Fund.

No.	Activities	Yes	No	Remarks
1.	What is the LSB Resolution No. approving the 2024 SEF Budget?			LSB Res. No. 8-1023
2.	When was the 2024 SEF Budget approved?			Oct. 20, 2023
3.	What is the total budget of approved 2024 SEF Budget?			P66,000,000.00
4.	Did the LSB Focal person furnish the following officials a copy of the Special Education Fund (SEF) Budget as basis for disbursement or certification of availability of funds and for recording purposes not later than seven (7) days after the approval of the SEF Budget?	✓		
	Local Budget Officer	✓		
	Local Accountant	✓		
	Local Treasurer	✓		

- B. Activity: LSB submit quarterly and annual reports using the SEF Budget Accountability Form No. I (Annex B) on SEF utilization, as prepared by the Local Accountant, to the DepEd CO, through appropriate channels, copy furnished the Local Sanggunian concerned and Regional Offices of the DBM and DILG not later than the 20th day after the end of the quarter for quarterly reports, and not later than the 15th day of February of the following year for annual reports.**

Objective: To ensure timely and accurate reporting on SEF utilization to maintain transparency and accountability.

No.	Activities	Yes	No	Remarks
1.	Were the quarterly reports submitted on or before the 20th day after the end of the quarter to the ff:			
	1st Quarter 2024			
	DepEd Central Office CO		✓	
	Local Sanggunian	✓		
	DBM Regional Office		✓	
	DILG Regional Office	✓		
	2nd Quarter 2024			
	DepEd Central Office CO		✓	
	Local Sanggunian	✓		
	DBM Regional Office		✓	
	DILG Regional Office	✓		
	3rd Quarter 2024			
	DepEd Central Office CO		✓	
	Local Sanggunian	✓		
	DBM Regional Office		✓	
	DILG Regional Office	✓		

No.	Activities	Yes	No	Remarks
	4th Quarter 2024			
	DepEd Central Office CO		✓	
	Local Sanggunian	✓		
	DBM Regional Office		✓	
	DILG Regional Office	✓		
2.	Were the annual reports submitted on or before the 15th day of February of the following year to the ff:			
	DepEd Central Office CO		✓	
	Local Sanggunian	✓		
	DBM Regional Office		✓	
	DILG Regional Office	✓		
3.	Was the SEF Budget Accountability Form No. 1 (Annex B) used for the submission of the quarterly and annual reports?			
	1st Quarter 2024	✓		
	2nd Quarter 2024	✓		
	3rd Quarter 2024	✓		
	4th Quarter 2024	✓		
	Annual (2024)	✓		
4.	Were the reports prepared and reviewed by the Local Accountant before submission?			
	1st Quarter 2024	✓		
	2nd Quarter 2024	✓		
	3rd Quarter 2024	✓		
	4th Quarter 2024	✓		
	Annual (2024)	✓		

C. Activity: LSB post the utilization report of the SEF Budget on the website of the LGU and/or in at least three (3) conspicuous public places for transparency and accountability in compliance with the Full Disclosure Policy of the DILG, pertinent deadline consistent with the Full Disclosure Policy of the DILG

Objective: To ensure compliance with the Full Disclosure Policy of the DILG by posting the SEF utilization report in public places and/or in the LGU website for greater transparency.

No.	Activities	Yes	No	Remarks
1.	Was the SEF Budget utilization report posted <u>on the official website</u> of the LGU?			
	1st Quarter 2024		✓	
	2nd Quarter 2024		✓	
	3rd Quarter 2024		✓	
	4th Quarter 2024		✓	
	Annual (2024)		✓	
2.	Was the SEF Budget utilization report posted in <u>at least three (3) conspicuous public places</u> ?	✓		City Hall Building, Market City Health Office, District Office
	1st Quarter 2024	✓		
	2nd Quarter 2024	✓		
	3rd Quarter 2024	✓		
	4th Quarter 2024	✓		
	Annual (2024)	✓		
3.	Was the SEF Budget utilization report posted <u>in the DILG FDPP</u> ?			
	1st Quarter 2024	✓		
	2nd Quarter 2024	✓		

No.	Activities	Yes	No	Remarks
	3rd Quarter 2024	✓		
	4th Quarter 2024	✓		
	Annual (2024)	✓		

Prepared by: